

Sundial x Charms Alchemy

A Cardano-Native Bitcoin Liquidity and Treasury Strategy

Field	Detail
Proposal	Treasury Proposal for Cardano Governance
Lead proposer	Sundial Protocol
Technical partner	Charms
Requested funding	\$2.0M USD (~8,300,000 ADA)
Funding split	~\$1.0M treasury-supported launch liquidity; ~\$1.0M delivery, audit, integrations, and go-to-market budget

At a Glance

Alchemy is a focused proposal to bring proven Bitcoin treasury product demand on-chain to Cardano.

- **What it builds:** FIRE/ICE, a Cardano-native BTC-backed asset pair using the Alchemy protocol and Charms' Scrolls infrastructure.
- **Why now:** STRC and related BTC-backed products show that markets want structured Bitcoin exposure beyond passive holding.
- **Why Cardano:** Cardano can host the transparent, auditable, on-chain version of such products before BTCfi consolidates elsewhere.
- **What the treasury supports:** staged launch liquidity, delivery, audit, integrations, dashboards, reporting, and go-to-market execution.
- **What the ecosystem gets:** a reusable BTCfi primitive that wallets, DEXs, dashboards, and future BTC-facing applications can build around.

Executive Summary

Sundial Protocol and Charms Inc. propose Alchemy: a Cardano-native Bitcoin treasury and liquidity system designed to position Cardano early in one of the fastest-growing BTCfi categories: BTC-backed structured exposure.

The market precedent already exists. Strategy's STRC and related BTC-backed capital products have shown that investors want more than passive Bitcoin exposure. They want senior claims,

yield-oriented BTC reserve products, and structured ways to participate in Bitcoin balance-sheet growth. Alchemy brings that proven product logic into transparent, programmable, Cardano-native infrastructure.

Instead of asking Cardano to fund a random new DeFi experiment, Alchemy takes a product category that is already working in public markets and rebuilds it better: on-chain, auditable, reserve-based, integrated with Cardano DeFi, and designed as reusable infrastructure for wallets, DEXs, dashboards, and future BTC-facing applications.

Alchemy is built with Charms as the core technical partner for the Alchemy protocol and Scrolls-based infrastructure. The system uses Charms' protocol layer alongside Sundial's BTC platform to create two reserve-backed Cardano assets from a shared BTC reserve.

- **FIRE (BTC+)**: the junior reserve-growth asset. FIRE absorbs downside first and captures residual upside after ICE liabilities are met. It is designed for users seeking higher-beta BTC exposure without margin calls or liquidation mechanics.
- **ICE (BTC-)**: the senior BTC-backed claim. ICE is a lower-volatility, USD-denominated BTC-backed asset with formulaic growth funded by the reserve structure. ICE is not short Bitcoin; it is the senior claim in the shared reserve.

What Cardano Gets

- A live BTCfi flagship built natively for Cardano.
- A reusable FIRE/ICE asset pair that wallets, DEXs, dashboards, and future BTC-facing applications can integrate.
- A \$1.0M treasury-supported launch liquidity pool, separated from Sundial and Charms operating funds and deployed only under approved tranche, reporting, and use-restriction rules.
- Always-on protocol reporting, plus dedicated monthly DRep-visible summary reporting on deployed liquidity, reserve ratio, FIRE/ICE supply, liquidity health, incidents, integrations, go-to-market progress, and milestone status.
- A clear institutional and ecosystem go-to-market plan focused on bringing BTCfi capital, attention, and integrations into Cardano.

In contrast to broad subsidies, this proposition is a targeted strategic investment in Cardano's Bitcoin Position. The proposal gives Cardano a chance to help lead the emerging Bitcoin treasury protocol category through defined roles, measurable milestones, separated launch liquidity, public reporting, integrations, and a focused go-to-market plan.

Treasury funds are not requested for Sundial's general business development, unrelated product expansion, or private balance-sheet support. The request is limited to the Alchemy Cardano deployment: FIRE/ICE reserve assets, launch liquidity, integrations, audit, reporting, and go-to-market execution.

Why Cardano Needs This Now

Bitcoin is the largest cryptoasset by market capitalization. Bitcoin holders need credible ways to put BTC-linked capital to work without abandoning Bitcoin's security narrative. Cardano needs differentiated DeFi products that are not copies of Ethereum market structure.

Most Bitcoin financial activity is developing outside Cardano. If Cardano wants BTC liquidity to become a real DeFi input rather than only a narrative, it needs credible reserve infrastructure, transparent risk controls, wallet and DEX integrations, and products that can attract Bitcoin-native users without compromising Cardano's security assumptions.

Alchemy gives Cardano a simple strategic story:

- Cardano becomes a serious venue for Bitcoin-native finance.
- Treasury support catalyzes infrastructure that brings external Bitcoin demand into Cardano.
- Treasury-supported launch liquidity helps catalyze the market while remaining separate from delivery spend.
- Sundial delivers focused product ownership, institutional access, capital formation, and go-to-market execution.
- Charms delivers the Alchemy protocol layer, Scrolls-based infrastructure, and core FIRE/ICE mechanics.

The proposal is intentionally narrow: it does not ask the treasury to fund a broad Bitcoin credit market, a generalized RWA platform, or Sundial's full commercial roadmap. It asks for one defined Cardano deployment: FIRE/ICE reserve assets, launch liquidity, integrations, audit, reporting, and go-to-market execution.

What Alchemy Does

Alchemy is a Bitcoin treasury protocol that uses the Charms protocol infrastructure to split BTC-backed reserves into two complementary Cardano-native assets:

- **FIRE (BTC+):** the junior, volatility-absorbing reserve-growth asset. FIRE captures residual upside after ICE liabilities are met and absorbs downside first. It is designed for users seeking higher-beta BTC exposure without margin calls or liquidation mechanics.
- **ICE (BTC-):** the senior, steadier BTC-backed claim. ICE is a lower-volatility, USD-denominated BTC-backed asset with formulaic growth funded by the reserve structure. ICE is not "short Bitcoin"; it is the senior claim in the reserve structure.

Both assets are backed by a shared BTC reserve. FIRE absorbs volatility. ICE receives the more senior claim and maintains relative value stability. This is not guaranteed yield or risk-free

return. It is a transparent reserve-based structure with disclosed thresholds, redemption constraints, risk controls, and public reporting.

The key point for Cardano governance is that Alchemy does not need to prove that BTC-backed structured products can work at all. Public-market precedent already shows demand for the category. The proposal is to bring that product logic into a transparent, on-chain, Cardano-native system where the reserve, reporting, assets, and integration surface can be inspected and used by the broader ecosystem.

How It Works

Alchemy is organized around three core relationships:

Mechanic	Formula / role	Meaning
Reserve ratio	$(V \times P) / L$	Measures BTC reserve value against outstanding ICE liabilities.
ICE	Senior claim	Lower-volatility, USD-denominated BTC-backed asset with formulaic growth funded by the reserve structure.
FIRE price	$((V \times P) - L) / N+$	Residual value after ICE liabilities, with amplified upside and first-loss downside exposure.

Where:

Variable	Definition
V	BTC in the vault.
P	BTC/USD price.
L	Total ICE liability in USD.
N+	Total FIRE supply.

The initial target reserve ratio is 4.0x. Reserve thresholds and redemption constraints will be refined with Charms, auditors, and economic modeling before launch.

Reserve Ratio Safety Zones

Zone	Reserve ratio	Operating posture
Healthy	Above 4.0x	FIRE redeemable; ICE minting enabled; ICE redemptions and growth available.
Buffer	2.0x-4.0x	New ICE minting restricted; FIRE redemption constrained; ICE growth may continue under formula.
Locked	Below 2.0x	FIRE minting and ICE redemption constrained; new risky activity paused.

Additional constraints:

- FIRE cannot be redeemed below a 4.0x reserve ratio.
- ICE cannot be minted below a 4.0x reserve ratio.
- ICE cannot be redeemed below a 2.0x reserve ratio.
- FIRE cannot be minted below a 2.0x reserve ratio.

These constraints prevent overleveraging that puts ICE holders at risk and prevent value-destructive dilution for FIRE holders during stressed conditions.

Product and Deployment Plan

Planned launch components include:

- FIRE and ICE asset logic implemented through the Alchemy protocol and Charms' Scrolls infrastructure.
- BTC reserve, locker, and redemption mechanics integrated with Sundial's BTC platform.
- Public dashboards tracking reserve ratio, asset supply, fee flows, liquidity health, integrations, and milestone status.
- Wallet and DEX integration work so FIRE/ICE become usable Cardano-native DeFi assets rather than isolated proposal artifacts.
- Staged launch liquidity deployment tied to audit readiness, reporting, operational review, and reserve/dashboard performance.
- An upgrade and maintenance path for protocol parameters, integrations, dashboards, and user-facing product flows as audit and market feedback arrive.

The launch should make FIRE/ICE visible, usable, and legible to the Cardano ecosystem from day one. Alchemy is not just protocol code. It is an asset pair, a reserve model, a reporting surface, a liquidity program, and a go-to-market campaign.

Go-to-Market and Matching Capital

Alchemy is not intended to rely only on treasury-supported liquidity. Sundial plans to source matching outside capital from strategic, institutional, and ecosystem-aligned participants so Cardano support can catalyze a larger BTCfi liquidity base rather than carry the market alone.

The go-to-market plan will be treated as a core delivery workstream, not an afterthought.

Our go-to-market strategy includes:

- DRep and governance education.
- Wallet and DEX distribution.
- Ecosystem partner activation.
- Liquidity-provider outreach.
- Institutional BTCfi positioning.
- Public reporting and dashboard visibility.
- Launch communications around FIRE/ICE as Cardano-native Bitcoin reserve assets.

Sundial's role is to build the institutional-facing product surface, bring capital and relationships into the system, and make Cardano the place where this BTC-backed structured product category can grow on-chain.

Charms' role is to build the underlying protocol layer and absorb native protocol-level fees.

Cardano's role is to catalyze the launch of a flagship BTCfi primitive that the broader ecosystem can use.

The message to the market should be direct: BTC-backed structured products are already working. Cardano can host the transparent, on-chain version.

Requested Funding

Funding item	Detail
Total ask	\$2.0M USD (~8,300,000 ADA at current rates)
The request is divided into two clearly separated pools:	\$1.0M USD for development and rollout \$1.0M USD for liquidity

\$1.0M Treasury-Supported Launch Liquidity

This is the heart of the proposal. The \$1.0M liquidity pool is treasury-supported launch liquidity, not general operating capital. It is deployed in tranches to seed Alchemy's initial liquidity, kept separate from delivery spend, and governed by reporting and use-restriction rules.

Treasury-supported liquidity is not risk-free. Once deployed, it may be exposed to defined protocol, market, oracle, bridge/locker, and liquidity risks. The proposal therefore limits deployment by tranche, requires audit and reporting gates, and keeps liquidity use separate from Sundial and Charms operating costs.

Purpose:

- Seed the shared BTC reserve.
- Make the Alchemy launch credible with real liquidity depth.
- Demonstrate the mechanics of FIRE and ICE with initial capital.
- Provide Cardano with a visible BTCfi asset pair.
- Help establish Cardano as an early venue for transparent, on-chain BTC-backed structured exposure. **Staged deployment:**

Stage	Amount	Release condition
Month 1	\$250K	After audit and launch-readiness review.
Month 2	\$250K	After public reporting, operational review and 30 day grace period
Month 3	\$500K	After mint/ redeem thresholds, reserve ratio tracking, growth rate monitoring, and dashboard performance are confirmed.

Initial reserve target:

FIRE-side liquidity	~\$750K
ICE-side liquidity	~\$250K

Final allocation between FIRE and ICE will be optimized to maintain a 4.0x (TVL/ICE Volume) target reserve ratio, adjusted based on economic modeling, audit feedback, and launch conditions.

Liquidity controls and reporting commitments:

- Treasury-supported launch liquidity is deployed only under approved tranche, reporting, and use-restriction rules.
- Launch liquidity will be owned solely by the Treasury. All profits, yield, and returns will be returned to the treasury by Sundial on a quarterly basis. The profits will be returned to the Treasury ADA account and converted by Sundial from their original asset into ADA, utilising Cardano-native DEXs at Sundial's discretion to ensure an optimum conversion price.
- Each tranche of liquidity will be purchased at a 3:1 ratio of Fire to Ice to push the protocol's reserve ratio towards a 4x ratio.
- The principal amount can be returned to the treasury after Alchemy's protocol TVL > \$60 million. When this milestone is reached, Sundial will submit a formal governance proposal, allowing DReps and the Constitutional committee to vote on whether to return the full principal amount to the Treasury ADA wallet. Sundial will comply with the decision of this vote and convert all funds into ADA, utilising Cardano-Native DEXs at the optimal achievable conversion rate.
- If deployment milestones, audit conditions, reporting obligations, or defined liquidity-health thresholds are not met, further deployment can pause until issues are corrected or governance provides direction.
- Sundial will publish public reporting on deployed liquidity, reserve ratio, FIRE/ICE supply, liquidity health, incidents, material parameter changes, integrations, and milestone status.
- Always-on dashboards should make the core system state visible without waiting for monthly narrative reports.

A formal 12-month governance review will be published covering deployed liquidity, reserve ratio history, audit status, integrations completed, active users/liquidity, go-to-market progress, matching-capital efforts, and any incidents. If the review shows material non-performance against approved milestones, further treasury-supported liquidity deployment should pause unless governance explicitly approves continued deployment.

These commitments make the treasury-supported liquidity pool an accountable strategic investment in Cardano's BTCfi position, not a blank-check operating grant.

\$1.0M Delivery, Audit, Integrations, and Go-to-Market Budget

This funds the work required to design, build, audit, launch, integrate, market, and report Alchemy.

Allocation	Workstream	Scope
\$250,000	Alchemy protocol implementation and integrations/upgrades	Charms Scrolls infrastructure, BTC asset logic, reserve mechanics, mint/redeem constraints, integration adapters, and upgrade support.

Allocation	Workstream	Scope
\$300,000	Sundial engineering and protocol delivery	Product architecture, platform integration, institutional frontend/backend, monitoring, reporting, and capital-formation support.
\$200,000	Security review, audit, and economic modeling	Independent review of protocol logic, reserve thresholds, smart-contract-like execution, oracle dependencies, and economic assumptions.
\$100,000	Product, UX, dashboards, and Cardano DeFi integrations	Wallet flows, dashboards, DEX integration work, user documentation, and public reporting surfaces.
\$75,000	Legal, compliance, disclosures, and risk documentation	ICE/FIRE positioning, disclosures, treasury reporting structure, risk documentation, and launch-readiness review.
\$50,000	Ecosystem education, governance reporting, and launch operations	Governance communications, DRep education, ecosystem partner activation, launch coordination, and market-facing communications.
\$25,000	Fund administration and accounting	Intersect or equivalent administration and reporting support, subject to confirmation.

These are planning allocations within a fixed \$1.0M delivery budget. Funds may be reallocated between categories as implementation, audit, legal, and launch requirements are finalized, but total delivery spend will not exceed the approved budget. The treasury-supported launch liquidity pool remains separate from the delivery budget and cannot be used for implementation costs, delivery overruns, operating expenses, or any purpose outside approved liquidity deployment. Material reallocations will be disclosed in milestone reporting.

Fund Administration and Treasury Controls

Sundial is accountable for controlled deployment of treasury-linked funds, reporting, and compliance with the proposal's use restrictions.

Intersect is proposed as the professional fund administrator, subject to confirmation and final agreement. Intersect would support fund administration, accounting, and reporting. A \$25,000 planning allocation is included in the delivery budget for administration and reporting support. If Intersect is not available, Sundial will name an alternative administrator before final submission or before any treasury-supported launch liquidity is deployed, and the alternative will be disclosed to governance with equivalent accounting, reporting, and segregation responsibilities.

The \$1.0M launch liquidity pool will be separately tracked from the operating budget with:

- Dedicated accounting.
- Public reporting.
- Staged deployment.
- Defined use restrictions.
- Reserve status reporting.
- Deployment pause and review rules for underperforming or non-compliant liquidity.
- Treasury-facing reporting on reserve status, liquidity health, integrations, incidents, and milestone progress.

Always-on dashboards and monthly reports will be published for DReps and the community, including deployed liquidity, reserve ratio, FIRE/ICE supply, liquidity health, incidents, material parameter changes, integrations, go-to-market progress, and upcoming milestone conditions.

Sundial will disclose any related-party relationships or material commercial arrangements involving Sundial, Charms, the fund administrator, liquidity venues, wallet partners, and integration partners where those relationships are relevant to treasury-funded work.

Sundial remains the accountable proposer. Fund administration does not dilute Sundial's responsibility for delivery.

Milestone Structure

Funds unlock only as Alchemy becomes progressively more real and less speculative.

Milestone	Unlock	Condition
M1	10% (~\$200K)	Design, economic modeling, audit scope, and Charms integration scope finalized.
M2	25% (~\$500K)	Testnet live; FIRE and ICE functional on testnet; dashboards and reporting operational.
M3	15% (~\$300K)	Security audit passed; economic model reviewed; reserve thresholds confirmed.
M4	12.5% (~\$250K)	Mainnet launch; DEX integrations live; governance reporting operational; second Audit and ongoing monitoring system complete.

Milestone	Unlock	Condition
M5	12.5% (~\$250K)	30-day Public Report, all internal benchmarks and test requirements passed.
M6	25% (~\$500K)	???

Lean Budget, Treasury Protection, and Value Return

Sundial has structured this proposal as a lean, delivery-focused treasury request. The \$8.3 million ask funds a specific programme of work, Alchemy: a Cardano-native Bitcoin treasury and liquidity system designed

The proposal is not designed to maximise the amount withdrawn from the Cardano treasury. It is designed to fund the minimum credible delivery path for this innovative and proven design.

To protect the treasury, Sundial will apply a treasury protection mechanism linked to ADA appreciation. The proposal budget is calculated against a reference ADA price of \$0.35. If ADA appreciates above this level before or during milestone funding, Sundial will not retain the excess economic value.

Instead, future milestone withdrawals will be reduced, or excess ADA already received will be returned to the Cardano treasury by Sundial. This ensures that Cardano does not overpay simply because ADA appreciates after approval. The community funds the delivery programme, not an unintended windfall.

Technical Partners

Sundial Protocol - Lead Proposer

Sundial is a Bitcoin-native credit and derivatives platform. Sundial provides:

- Sundial's BTC platform and locker components, Hacken-audited and live in testnet.
- Product architecture, frontend/backend, and protocol delivery.
- Treasury controls, reporting, and accountability for treasury-linked funds.
- Institutional BTCfi positioning, outside capital sourcing, and go-to-market execution.
- Launch coordination, governance reporting, and community communications.

Charms - Confirmed Technical Partner

Charms is the confirmed technical partner and core builder for the Alchemy protocol and Scrolls-based infrastructure.

Charms is a Bitcoin meta-protocol specialist and has been involved in Alchemy's design from the early stages alongside Sundial. Charms is expected to build the protocol layer and absorb native protocol-level fees, while Sundial builds the institutional-facing product, sources capital, coordinates Cardano go-to-market, and remains accountable as lead proposer. Charms' role includes:

- Dual-sided ICE/FIRE protocol design and issuance.
- BTC asset representation and redemption mechanics on Cardano.
- Integration with Sundial's BTC platform and locker infrastructure.
- Scrolls-based integration, upgrades, and technical co-development of the dual-sided structure.

Charms' protocol and Scrolls expertise is essential to the technical feasibility of this proposal.

Previous Funding & Achievements

Sundial

Bitcoin Yield Testnet Released - [Link to Platform](#)

Paris Blockchain Week - *1st place at the Institutional Competition*

Pointer Capital Fund II (AngelList) - *Lead Investor in Seed Round*

Draper University - *Tim Draper's premier accelerator program*

Project Catalyst: Fund 13 - 3/6 Milestones Complete

#1 Ranked Community Initiative in Fund 13

Distributed: 1,148,250 \$ADA

Remaining: 651,750 \$ADA

[Link to Proposal](#)

Sundial has completed the majority of its Catalyst scope, with three milestones formally approved and subsequent work already delivered internally.

Milestone 4 has been completed and is currently in review with the catalyst reviewers. The team made a deliberate decision to align milestone submission with completed audit results rather than submitting partial deliverables, ensuring that all outputs meet production and security standards.

This approach introduced some timing delays, alongside extended review cycles, but preserves the integrity and quality of the deliverables. The remaining work is well-defined and progressing toward completion.

Charms

Ecosystem Support

The following teams are expected to support Alchemy as ecosystem partners. Only confirmed support is treated as part of the proposal's execution assumptions.

- DeltaDeFi: liquidity and integration partner. Support to be confirmed; not required for core delivery.
- Minswap: DEX integration and liquidity routing. Support to be confirmed; not required for core delivery.
- VESPR: wallet and BTC bridging support. Support confirmed; quote to be inserted upon approval; not required for core delivery.

No team is listed as a partner, supporter, collaborator, or co-proposer without explicit written confirmation. Supporter status does not imply ownership, funding, or delivery responsibility.

Risk Controls and Safety

- Initial target reserve ratio: 4.0x.
- FIRE redemption and ICE minting restricted below 4.0x reserve ratio.
- ICE redemption constrained below 2.0x reserve ratio.
- FIRE minting constrained below 2.0x reserve ratio.
- Treasury-supported launch liquidity is isolated from operating spend and protected through staged deployment, public reporting, liquidity-health gates, and third-party administration where confirmed.
- Always-on dashboards report reserve positions, asset supply, liquidity health, and material parameter changes.
- Emergency pause and review rules define conditions for pausing deployment or seeking governance direction, including security incident, material reporting failure, liquidity-health breach, or Sundial/Charms insolvency.
- Operational budget includes provisions for unexpected costs; launch liquidity is never touched for delivery overruns.
- Sundial's Hacken-audited BTC platform and locker components are already live in testnet - not a theoretical design, but working security-reviewed infrastructure Alchemy can integrate with.

Legal & Regulatory Treatment

FIRE and ICE are novel BTC-backed reserve assets and their precise legal and regulatory treatment may evolve as the product design, market usage, and applicable digital asset regulation develops. Sundial recognises that ICE, in particular, may raise additional legal considerations because it is intended to represent a senior, USD-denominated BTC-backed claim with formulaic growth mechanics, while FIRE may be treated differently because it represents the junior residual claim that absorbs volatility and captures reserve upside. Before any public mainnet launch or material scaling of the product, Sundial will undertake appropriate legal and regulatory analysis, including classification, disclosure, eligible-user, marketing, custody, redemption, and jurisdictional considerations. Where required, Sundial will formalise the appropriate legal wrapper, permissions, risk disclosures, operating controls, and user restrictions needed to support compliant deployment.

Alchemy follows a common pattern in DeFi innovation: new primitives are often developed and tested before their final regulatory categorisation is fully settled. However, Sundial does not interpret this as permission to ignore legal obligations or delay responsible compliance. The project will take a staged approach: build and test the technical primitive in a controlled manner, limit early deployment, publish clear risk disclosures, and engage legal and regulatory advisers as the product matures. Sundial's intention is to obtain any necessary legal opinions, registrations, permissions, or approvals as quickly as practicable, and to adapt the structure of FIRE, ICE, and the broader Alchemy system as regulation becomes clearer. No launch communication should describe ICE as risk-free, guaranteed, or equivalent to a bank deposit, stablecoin, bond, or regulated investment product unless and until the legal structure supports that description.

Comparable Market Precedent

Strategy's STRC and related BTC-backed capital products have demonstrated clear market demand for financial instruments beyond passive spot exposure. The important precedent is not Strategy's corporate balance-sheet model itself. The important precedent is investor demand for senior claims, yield-oriented BTC reserve exposure, and structured participation in Bitcoin balance-sheet growth.

Recent on-chain STRC activity strengthens this precedent. Tokenized and yield-routed STRC products have begun moving through DeFi venues such as Ondo, Saturn/Apyx, and Pendle, showing that markets are not only buying BTC-linked preferred instruments in brokerage accounts, but also decomposing, tokenizing, and trading their yield on-chain. This is directly relevant to Alchemy: the opportunity is not merely to copy Strategy's balance-sheet product, but to bring BTC-backed senior and junior exposure into transparent, programmable Cardano-native infrastructure.

Alchemy brings similar product logic into programmable infrastructure through two reserve-backed primitives:

- FIRE (BTC+): leveraged Bitcoin reserve equity.
- ICE (BTC-): senior BTC-backed claim with formulaic growth mechanics.

Unlike Strategy's products, these assets operate transparently on-chain with deterministic reserve mechanics and Cardano DeFi interoperability.

On-chain reserve-system precedents have also demonstrated meaningful adoption. DJED launched with reserve ratios exceeding 400% and attracted over 27 million ADA in reserve backing within its first day, rapidly surpassing \$10M TVL during early deployment. Centrifuge's Tinlake architecture helped pioneer the on-chain private credit category, with Centrifuge itself surpassing \$450M in financed real-world assets and supporting hundreds of millions in active credit markets. Ethena further demonstrated demand for transparent reserve-backed synthetic finance, with USDe growing to more than \$2B circulating supply within months of launch.

These systems validated several key market behaviors:

- Users will adopt visibly overcollateralized reserve systems.
- Markets understand senior/junior risk tranching.
- Structured yield products become increasingly valuable once reusable as DeFi collateral.

The growth of STRC reveals the latest evolution in these assets: they can become financial infrastructure around which an ecosystem of independent products, liquidity venues, dashboards, and distribution partners can flourish.

Why This Is a Win for Cardano

Cardano has the opportunity to lead in Bitcoin-native finance. Alchemy is designed around a combination of features that are especially relevant for Cardano treasury governance:

- The demand signal is already proven. STRC and related BTC-backed products show meaningful investor appetite for structured Bitcoin exposure.
- Cardano can enter early. Most BTCfi infrastructure is being built outside Cardano; Alchemy gives Cardano a concrete product wedge.
- This is not a generic DeFi clone. FIRE/ICE adapts BTC-backed senior/junior reserve logic into Cardano-native assets.
- The system is transparent by design. Reserve ratio, asset supply, fee flows, liquidity health, integrations, and milestone status can be reported publicly.

- The work connects to existing Sundial and Charms infrastructure. Sundial brings deep connections with institutions and Bitcoiners, plus an audited BTC platform already live in testnet. Charms brings the protocol and Scrolls layer needed to make these assets work as Cardano-native BTCfi infrastructure.

The Cardano-specific benefit is not only Sundial usage. It is a reusable BTCfi asset pair, liquidity surface, reporting model, and integration path that Cardano wallets, DEXs, dashboards, and future BTC-facing applications can build around.

The governance question is therefore not whether the treasury should subsidize a private BTCfi company. It should not. The question is whether a limited, milestone-gated launch liquidity allocation plus a fixed delivery budget is justified to establish Cardano-native BTC reserve infrastructure with DRep-visible reporting, ecosystem integrations, and a serious plan to bring BTCfi capital into Cardano.

This proposal asks the Cardano community to make a strategic investment in Cardano's Bitcoin position: take a proven BTC-backed product category, make it transparent and on-chain, and give Cardano a serious claim on the next phase of Bitcoin finance.

Contact

Sundial Protocol	sheldon@sundialprotocol.com
Charms	ivan@charms.dev , andrew@charms.dev

Draft - May 27, 2026. Pending partner quotes, final launch-liquidity controls, and fund administration confirmation.

Supporting Links

- [Strategy Raises \\$711M to Buy More Bitcoin in Upsized STRF Offering \(CoinDesk\)](#)
- [Strategy Announces \\$2.1B STRF ATM Program \(official press release\)](#)
- [Cardano-based Djed stablecoin attracts 27M ADA reserves](#)
- [DJED TVL hits \\$10M in first 24 hours](#)
- [Axios on Centrifuge and tokenized real-world asset lending](#)
- [Ethena USDe crosses \\$2B supply within two months \(The Block\)](#)
- [Ethena reaches \\$1.5B TVL in under two months \(CoinMarketCap\)](#)